

Canara Bank

Financials | Public Sector Banks | Large Cap | <http://www.canarabank.com/>

Company Overview

Canara Bank was merged with erstwhile Syndicate Bank in FY21. Canara was incorporated in 1906 and nationalised in 1969, along with 13 other major commercial banks of India, by the GoI. The bank is headquartered in Bangalore.

Financial Snapshot

Market Cap	■496,416 Cr	ROE	17.9%	Revenue CAGR	18.2%
P/E	36.74	ROCE	6.6%	PAT CAGR	85.8%
P/B	12.61	Net Margin	13.9%	EPS CAGR	53.4%
EV/EBITDA	25.23	Operating Margin	41.8%	Quality Score	60.00
Dividend Yield	3.8%	Debt / Equity	14.87	Interest Coverage	1.61
Asset Turnover	0.07	EPS	■17.00	Book Value	N/A

Investment Strengths

- High operating margin reflects operational efficiency.
- Revenue has grown consistently over five years.
- Profit growth has remained consistently strong.
- EPS growth indicates increasing shareholder value.
- Positive free cash flow strengthens future growth.
- Healthy dividend yield rewards shareholders.

Investment Risks

- Low ROCE indicates inefficient capital utilization.
- High debt increases financial risk.
- Poor interest coverage raises repayment concerns.

Cash Flow Intelligence

Healthy Cash Flow

Strong operating cash flow while investing for growth and reducing financing obligations.

Cash Rich

Positive operating and overall cash flow indicate healthy liquidity.